

prone area. Since there are no certainties in life, coverage is smart “insurance” against these life events.

When an earthquake struck, Patty was glad her grandmother had wisely paid her earthquake premiums. She had been visiting a friend in San Diego during the earthquake and when she returned, her house was almost completely destroyed. Some of her neighbors were luckier; they had suffered minor structural damage that could be repaired. Patty did not have this option.

Her insurance company made the assessment that her house was unfit to live in. Patty watched as her house was demolished. She received from her insurance company a check in the amount of \$200,000 to cover the value of the home. Patty’s grandmother had been lucky to buy her house thirty years ago before, and its value had increased substantially. Her house had always been her greatest asset and now it was reflected by the check in Patty’s hands.

Patty’s decision not to rebuild was based on the fear of another earthquake occurring. She decided to move to Las Vegas and transfer to a local university there. Patty purchased another house, but was pleasantly surprised to discover it cost much less than houses in and around Los Angeles. After she made a down payment, she still had a significant sum left over.

During the course of discovering her new city, Patty also came across its many shopping malls. Patty didn’t worry when she went on her regular shopping sprees because there was plenty of money from her insurance settlement. Her lifelong pattern of spending as much as she had was being repeated, but on a much grander scale. If she wanted a new mountain bike, hot tub, or expensive vacation, she would purchase one. She never really kept track of how much money she spent. As long as the ATM machine dispensed money, everything was fine. That is, until one day when the machine wouldn’t give her any more.

